

Tailored Lending Underwriting Guidelines for ABC Private Bank

1. Overview

1.1 Introduction and Credit Philosophy

This document outlines the guidelines for underwriting tailored loans at ABC Private Bank, which adheres to all consumer lending regulatory guidance and is committed to maintaining a strong credit culture. These guidelines are designed to ensure asset quality through sound credit policies and clear underwriting criteria, providing ABC Private Bank lending staff with essential processes and standards for credit products. Governed by Credit Policy 800, these guidelines are reviewed by the Second Line of Defense and managed by the Private Bank First Line of Defense Credit Risk Manager.

Tailored Loans Include:

- Secured Loans:
 - Lines of Credit secured by Marketable Securities
 - Lines of Credit secured by Private or Restricted Stock
 - Partner Lines of Credit for financing private equity/venture capital fund commitments
 - Net Asset Value Loans for general working capital/investments
 - Bridge Loans
 - Loans secured by personal assets like Aircraft, Marine Vessels, Vehicles, Artwork
- Unsecured Loans:
 - Personal Lines of Credit
 - Partner Lines of Credit
 - Personal Term Loans
 - NAV Loans
 - Bridge Loans

1.2 Consumer vs. Commercial Purpose

Tailored loans may serve consumer or commercial purposes, determined by the loan proceeds' usage. Facilities are deemed consumer purpose if over 51% of proceeds are used for consumer activities. Notably, Partner Lines of Credit often support commercial investments.

Reg Z Compliance: Non-Real Estate Secured Loans, except for business-purpose PLOCs, will adhere to the Reg Z threshold—\$69,500 as of 1/1/2024, ensuring loan amounts meet or exceed \$75,000. This compliance is essential in underwriting and confirmed during the approval process.

2. Exceptions

Exceptions to underwriting guidelines or credit policies require submission for review and approval as per the Delegated Credit Authority Matrix. Exception requests must include detailed rationales supported by documentation, such as correspondence or existing relationship details, proving the basis and need for the exception based on mitigating factors. Exception approvals, which are never discriminatory, may be grounded in competition, strategic client relationships, or correction of misleading bank information, supported by adequate documentation. The process ensures fair lending practices and decision-making based on outlined mitigating factors.

3. Credit Scores

Applications must include consent for a credit bureau report. The guidance sets the minimum qualifying score at ≥ 670 ; scores < 670 require a Credit Policy Exception, with further specifics for scores < 620 . Assessment of borrower character considers employment history, residence stability, professional growth, or affiliations within ABC Private Bank's ecosystem, ensuring comprehensive creditworthiness evaluation.

4. Trusts and LLCs

Refer to specific exhibits for detailed guidelines on Trust and LLC Lending & International Lending, ensuring clear understanding and compliance in such arrangements.

5. General Underwriting Parameters

A thorough analysis of the borrower, loan purpose, repayment sources, and potential risks is crucial. Leveraging ABC Private Bank's industry knowledge ensures proper risk assessment and rewards balance. The underwriting team, equipped with specialized training and tools, adheres to underwriting criteria, best practices, and regulatory compliance, ensuring consistent, high-quality credit evaluations.

5.1 Assets

5.1.1 Liquidity: Defined as easily convertible assets, liquidity considerations include unencumbered cash, marketable securities, and certain restricted assets. Documentation requirements and asset concentration considerations ensure accurate liquidity assessment.

5.1.2 Retirement Assets: Include verified retirement accounts, subject to specific discounting to calculate reserve requirements.

5.1.3 Cryptocurrencies: Are excluded as sources of liquidity or repayment.

5.1.4 Business/Partnership Interest/NAV: Requires valuation and detailed analysis for underwriting, considering the borrower's ownership value in businesses or investment funds.

5.1.5 Real Estate Properties: Valuation sourced from appraisals or market estimates to contribute to asset evaluation.

5.1.6 Other Assets: Broad category including tangible assets such as vehicles, art, and jewelry, among others, considered on a case-by-case basis.

5.2 Income Sources

Income sources for tailored lending encompass gross, predictable, verifiable, and recurring revenue streams expected to persist for at least three years from the application date. These sources generally include salary, bonuses, equity compensation, and distributions from business ventures or investments.

Income Underwriting and Verification:

- Base Salary: No discount applied.
- Bonus Income:
 - Previous year or year-to-date (YTD) bonus is subject to a 25% discount.
 - Target bonus without historical precedence or for new employment faces a 50% discount.

To accurately apply discounts, salary and bonus income must be distinctly evaluated in the financial analysis. If a borrower's application lacks detailed income breakdown, a request for clarification should be made to segregate Box 1 of the W-2 income components properly.

5.2.1 Asset Dissipation Methodology:

Asset Annuitization: This process allows for the inclusion of asset annuitization in tailored loan qualification, where eligible assets are multiplied by a rate of return equivalent to the 30-Year Treasury Rate, as of the most recent 30 days from the submission for approval. This method does not require the exclusion of assets used in calculating ABC Private Bank liquidity covenants before annuitization calculations.

Eligible Assets Include:

- Cash
- Unencumbered liquidity
- Encumbered liquidity net of margin/securities-backed lending debt balances
- Hedge fund balances subject to more than a 50% discount, with an unrestricted liquidation window of less than one year
- 50% of net retirement assets for borrowers of legal retirement age (59.5 years), excluding those required for "Required Minimum Distributions" in qualifying.

Asset Dissipation - Large Tailored Lending (LTL): For LTL-qualified borrowers, asset dissipation/depletion periods are determined by the borrower's gross liquidity relative to the total LTL commitment, with specific durations based on liquidity multiples of the loan commitment.

Other Considerations: Include liquidity from revocable/family trusts upon satisfactory documentation, the exclusion of liquidity in irrevocable trusts unless co-borrowing, and liquidity in LLCs or business entities only if the borrower has full ownership. Any offsetting expenses must be accounted for prior to calculations, with special discounting applied for concentrated assets and jointly held assets where applicable.

5.3 Tailored Lending – Large Tailored Loan (LTL) Risk Acceptance Criteria (RACs)

ABC Private Bank's Large Tailored Loan (LTL) offerings require adherence to detailed Risk Acceptance Criteria (RACs), encompassing liquidity, leverage, gross debt-to-income ratio (DTI), and credit score. These criteria are pivotal in evaluating financial health and credit risk, structured as follows:

- General Guidance: Attributes that indicate strong financial health.
- Cautionary Criteria: Traits warranting extra scrutiny. Acceptable only with mitigating factors.
- Undesirable: Traits signaling high risk. Generally advised against, barring strong compensatory factors elsewhere.

Detailed RACs:

- Liquidity: Must represent at least 20% of total liabilities for favorable terms, with less than 5% considered high risk.
- Leverage: Should not exceed 50% for preferential consideration. Ratios above 100% are viewed unfavorably.
- DTI: Ideally should be under 45%. Ratios above 55% fall into the high-risk category.
- Credit Score: A minimum score of 720 is preferred, with scores below 650 categorized as undesirable.

Income and Compensation Evaluation:

- Executive Compensation: Includes salary, bonuses, and equity, particularly RSUs. A 50% discount applies to the estimated qualifying income from RSUs vesting within the next 12 months, based on current stock prices. Documentation of vesting schedules is required.
- Self-Employment Income: For those with significant business interests, a two-year track record of stable income or credible projections are necessary. Financial health of the business is scrutinized.
- Asset Sales/Capital Gains: A two-year historical average of asset sales, discounted by 50%, is used to assess qualifying income. Private or public investments considered must exceed the qualifying income level by at least five times.
- Investment and Rental Income: Involves income from real estate and other investments. For commercial real estate (CRE), a two-year average of distributions, discounted by 25%, is standard. The borrower's stake in the business and historical income are evaluated for consistency and sustainability.

Other Income Considerations:

- Non-Taxable and Retirement Income: Non-taxable income is grossed up by 25%, or by the actual tax rate if higher. For retirement distributions, borrowers must have unrestricted access, and the account balances should support a three-year income continuance.
- Irrevocable Trust Distributions: Documented evidence of beneficiary status and annual income from the trust is required. Trust income is considered if the trust is a co-borrower.
- Contractual and Hourly Income: Must be verified through historical data and current year receipts. Consistency and recurrence are key.
- Alimony and Child Support: Must be documented and expected to continue for at least three years post-loan closure.
- Temporary Leave: Income during leave is assessed based on a return-to-work agreement and employer confirmation.

Cannabis Income: Subject to the bank's compliance policy on cannabis-related income, emphasizing the need for a case-by-case review process.

5.4 Liabilities:

Comprehensive analysis of a borrower's liabilities, including current and new ABC Private Bank debts, contractual expenses, contingent and recourse liabilities, and self-reported accounts. The evaluation considers the full spectrum of borrower obligations, ensuring a thorough risk assessment in tailored lending.

Key Components:

- Current and New ABC Private Bank Debt: Reflects outstanding balances and full loan amounts in underwriting analysis.
- Contractual Expenses: Includes all contractually mandated or reasonably expected obligations, requiring additional documentation if not reflected on the credit report.
- Contingent and Recourse Liabilities: Examines co-signer or guarantor responsibilities, with specific protocols for assessing and including these liabilities in the financial analysis.
- Self-reported Accounts: Addresses the treatment of utility and telecommunication accounts self-reported on credit reports concerning gross DTI calculations.

5.5 Expenses

5.5.1 Tailored Underwriting for ABC Private Bank Debt

- Adjustable Rate Mortgage (ARM): 30 years, fully amortizing, with a standard 360-month amortization. Contractual debt service applies both at origination and post-approval.
- Interest-Only: A 240-month amortization period, adhering to contractual debt service throughout the loan term.
- Fixed Rate Mortgage: Available in 15 and 30-year terms, both fully amortizing over 180 and 360 months, respectively, maintaining contractual debt service.
- HELOC (Home Equity Line of Credit): Following a 10-year revolving period, debt service is calculated on a line limit with a 240-month amortization. Contractual debt service applies after the draw period.
- Securities-Based Lending (SBL) and Portfolio Wealth Loans (PWL): Specifics on debt service are detailed in product guidelines. In all scenarios, SBL balances factor into liquidity calculations for reserves/dissipation.
- Tailored ABC Private Bank Loans: Include a variety of structures and durations. Qualification depends on the specific terms, with several utilizing either 60-month amortization or interest-only debt service, reflecting the diversity in tailored lending solutions.

5.5.2 Real Estate (RE) Expenses

Comprehensive verification of all real estate-related expenses (PITIA: Principal, Interest, Taxes, Insurance, Association dues) is required, utilizing available documentation or credible sources like property tax records or insurance documents.

5.5.3 Property Taxes:

- In California, new purchases and refinance following a recent purchase employ a 1.25% purchase price calculation for annual property taxes.
- For refinance in California and loans in other states, taxes are based on appraisal or reputable sources like county tax websites.

5.5.4 Homeowner's Insurance:

- A standard 0.35% of proposed ABC Private Bank debt is used for new purchases, with refinances requiring verification of the actual premium.

5.5.5 HOA Fees:

Must be accounted for in all transactions, verified through appraisal or credible sources.

5.5.6 Credit/Charge Cards:

Listed credit card payments are expensed as per the credit report; unlisted balances assume an annual debt service of 30% of the outstanding balance.

5.5.7 Annual Capital Call Expense:

Calculated from capital commitments less any PLOC commitment, divided by five years, affecting the borrower's expense calculations or offset against post-close liquid assets.

5.5.8 Auto Loans and Leases:

Debt service analysis is based on the lower of the balance owed or the monthly payments annualized, per credit report.

5.5.9 Student Loans:

Employ the greater of 12% of the outstanding balance or the annualized contractual payment for all student loans, whether deferred, in forbearance, or in repayment.

5.5.10 Alimony and Child Support Expenses:

Verified obligations must be included as expenses, adhering to specific documentation like divorce decrees or court orders.

5.5.11 Legal/Regulatory Infractions:

Requires letters of explanation for any recent payment delinquencies or legal issues affecting creditworthiness.

6. Cash Flow Considerations

Evaluating cash flow within ABC Private Bank's tailored lending framework involves two primary metrics: the Debt-to-Income (DTI) Ratio and Contractual Reserves. These components are essential for assessing the borrower's financial health and risk level.

6.1 Debt to Income Ratio (DTI)

The DTI Ratio is a critical financial measure, determined by dividing the borrower's total monthly contractual expenses by their total monthly gross income. This ratio provides a snapshot of the borrower's financial commitments in relation to their income, helping assess their ability to manage and repay the loan. It's important to include debt service on ABC Private Bank facilities as specified in the "ABC Debt Qualification" section.

6.2 Contractual Reserves

ABC Private Bank sets mandatory contractual reserve levels based on the client's DTI Ratio. These reserves—liquid or cash assets—offer valuable insight into the borrower's financial flexibility and the robustness of their balance sheet. A higher level of liquidity not only supports the borrower's repayment capacity but also adds a layer of security for the bank.

Contractual Reserves Calculation:

The required reserves are determined by the duration (in months) of the borrower's total annualized contractual expenses and any personal service of contingent liabilities, relative to their available liquidity or adjusted liquidity measures.

Required Pro Forma Contractual Reserves Based on Pro Forma DTI Ratios (including of the proposed loan):

DTI less than or equal to 40%: No additional reserves required.

DTI between 40.001% and 45%: minimum of 6 months of reserves required.

DTI between 45.001% and 50%: minimum of 18 months of reserves required.

DTI between 50.001% and 55%: minimum of 36 months of reserves required.

7. Documentation Requirements

Outlined documentation for loan applications includes credit applications, financial statements, tax returns, and additional documentation supporting income, cash flow, and assets.

8. Annual Credit Risk Reviews

Performed on a batch basis for tailored loans, ensuring ongoing compliance and risk management.

9. Internal Controls

Encompass credit review and approval processes, legal reviews for unique facilities, and the maker/checker protocol for submitting credit applications for approval.

10. Updating Guidelines

Guidelines are periodically reviewed to stay aligned with ABC Private Bank's business practices and regulatory requirements, with a feedback mechanism for continuous improvement.